Exhibit B

STATE OF ILLINOIS
ILLINOIS COMMERCE COMMISSION

Commonwealth Edison Company Filing proposing changes to new service requests for large demand project applicants or customers. (tariffs filed June 23, 2025) Filing proposing revisions to Rider Distributed System Extensions. (tariffs filed June 23, 2025)	)))))))))	Docket No. 25-0677 (consolidated) Docket No. 25-0679

DIRECT TESTIMONY OF

MIKE JACOBS

ON BEHALF OF

THE ENVIRONMENTAL LAW & POLICY CENTER, NATURAL RESOURCES DEFENSE COUNCIL, UNION OF CONCERNED SCIENTISTS, AND VOTE SOLAR ("JOINT NGOs")

September 26, 2025

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I. WITNESS IDENTIFICATION

Q: Please state your name, title, and position.

A: My name is Michael B. Jacobs. I am employed by the Union of Concerned Scientists as a Senior Manager, Energy.

Q: For whom are you testifying in this matter?

A: I am testifying on behalf of the Environmental Law & Policy Center ("ELPC"), Natural Resources Defense Council ("NRDC"), Union of Concerned Scientists ("UCS"), and Vote Solar, together the Joint Non-Governmental Organizations ("Joint NGOs").

Q: Please describe your formal education and professional experience.

A: I have an MS degree in Urban and Regional Planning from the University of Wisconsin-Madison.

I am an analyst with over twenty-five years' experience in the utility and energy regulatory fields. I am responsible for UCS' efforts to promote the understanding and adoption of clean energy alternatives in the energy markets serving the states and regional transmission organizations where UCS has broader advocacy efforts. I joined the UCS in 2013 after participating in regulatory and market reforms for the wind industry, an energy storage company, and the National Renewable Energy Laboratory. In these capacities I was responsible for representing my employers in utility regulatory discussions and rulemakings. In my private sector employment, I was responsible for interconnection, transmission and storage strategies for renewable energy development. I had a direct role in the interconnection of 1400 MW of wind generation and several battery storage deployments with wind and solar generation.

I began my career with six years as a member of the staff of the Massachusetts Department of Public Utilities and the related Energy Facilities Siting Council, where I helped write the rules for, and then mediated a settlement in, the implementation of all-resource competition to fill utility procurement requirements. I was the Deputy Policy Director and Acting Policy Director for the American Wind Energy Association for three years, during which time I participated in a Federal Energy Regulatory Commission ("FERC") settlement of interconnection standards and jurisdiction for small generators with the representatives of the National Association of Regulatory Utility Commissioners, Edison Electric Institute, and American Public Power Association. Also at that time, I led the wind industry to a settlement with the North American Electricity Reliability Council (now Corporation) over certain requirements for large generator interconnection. My curriculum vitae is attached as JNGO Exhibit 3.01.

Q: Have you previously testified before the Illinois Commerce Commission?

A: Yes, I provided comments and briefs to the Illinois Commerce Commission regarding the development of a Renewable Energy Access Plan for the state of Illinois, Docket 22-0749.

Q: Have you previously testified before other state regulatory bodies?

A: Yes. For the Union of Concerned Scientists, I was a witness in Minnesota Public Utility Commission Docket No. E-015/GR-17-568 review of a utility resource plan and MN PUC Docket No. E002/RP-19-368, also an utility resource plan review. I have provided comments and briefs to the Michigan Public Service Commission Case No. U-21662 regarding Renewable Energy Procurement and MPSC Case No. U-18419 regarding the need for a generation unit.

For prior employers, I have submitted written comments in proceedings at FERC on the implementation of wind farm interconnection procedures and provided pre-filed written testimony before the Public Utility Commission of Maine regarding the development of transmission for wind farms and the New Jersey Board of Public Utilities regarding renewable energy policy before and after a proposed merger of utility companies. A list of testimony and comments that I have provided is included as JNGO Exhibit 3.02.

Q: Are you sponsoring any exhibits?

A: Yes, I am sponsoring the following exhibits:

- JNGO Ex. 3.01: Curriculum vitae of Mike Jacobs.
- JNGO Ex. 3.02: Past testimony and comments of Mike Jacobs.
- JNGO Ex. 3.03: ComEd 2024 Local Plan Submission to PJM.
- JNGO Ex. 3.04: ComEd 2025 Local Plan Submission to PJM.
- JNGO Ex. 3.05: ComEd responses to data requests JNGO-ComEd 2.01, 2.06, 2.10, 2.11, 2.13, 2.20, 2.21, 4.03, 4.05, and 4.10.
- JNGO Ex. 3.06: First page of ComEd Tariff, Rider NS – Nonstandard Service and Facilities.
- JNGO Ex. 3.07: ComEd response to request NRG-ComEd 4.08.

Q: What is the purpose of your testimony?

A: This testimony will describe how the cost of ComEd investments for infrastructure to serve new large customers is unfairly shifted to other customers. The Company is making distinctions between costs that large load applicants/customers must pay for their cluster studies, and costs from the high voltage upgrades and extensions which serve specific large load customers but are allocated to all customers. On one hand, the Company is emphasizing consumer protection by proposing adjustments to $1 million deposits, while on the other hand overlooking upgrade costs caused by the same individual customers that add over $200 million to the revenue requirements paid by all ComEd customers.

The costs for the Company to build high voltage upgrades and extensions are allocated to other consumers first in wholesale transmission rates, and then through the transmission rate component of retail rates. I will demonstrate why the Company must do more to ensure that new service requests of Large Demand Project Applicants or Customers neither harm, nor unjustly shift such costs to other customers.

II. <u>THE COMPANY DOES NOT ACCOUNT FOR ALL THE COSTS THAT LARGE LOADS IMPOSE ON CUSTOMERS FOR INFRASTRUCTURE.</u>

Q: How does the Company introduce the costs to connect Large Demand Project Applicants or Customers into this docket?

A: The purpose of the Company's tariff revisions, as ComEd witness Leichtman states in testimony, is "to provide even greater transparency around the requirements for [Large Demand Project Applicants and Customers] to receive service from ComEd and to improve protections for other customers from potential costs and risks associated with those applications."[1]

[1] ComEd Ex. 1.0, Direct Testimony of Max Leichtman, at 3-4.

Q: Do you believe that the Company's tariff revisions accomplish that goal?

A: They are a start, but they leave out substantial categories of costs pertaining to high voltage equipment. The way the Company deals with high-voltage upgrades means that other customers ultimately subsidize the connection costs of Large Demand Project Applicants and Customers.

Q: Does the Company describe new customers needing connections using high voltage equipment?

A: Yes. The Company stated "ComEd currently has 42 non-generator customers interconnected at voltages of 138 kV or higher. Within the next five years, ComEd anticipates adding another 50 – more than doubling the current number of these customers."[2]

Q: How does the Company describe the higher costs to connect new large demand project applicants or customers?

A: The Company indicates that these customers introduce higher costs: "The work necessary for ComEd to provide service to these large demand projects is complex from a planning and engineering standpoint. Given the size and nature of these customers' load requirements, the study, engineering, and design process is generally more complex, lengthy, and costly than for the typical New Business project."[3]

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[2] ComEd Ex. 1.0, Direct Testimony of Max Leichtman, at 6.
[3] ComEd Ex. 1.0, Direct Testimony of Max Leichtman, at 7.

Q: Are planning and engineering costs the only new costs that large loads might impose on other customers?

A: No. The study and engineering work that ComEd describes are the preliminary steps to building interconnection equipment and structures for individual new large load customers. The study, engineering, and design work indicate what new equipment is needed for each new large load customer. The high voltage direct connection facilities that reach the new customer are one part of these new facilities. When the power required by proposed loads is more than can be safely carried by the nearby high voltage equipment, ComEd builds upgrades to the local high voltage system. And in some instances, ComEd creates new extensions of the high voltage system to serve the new customer. Each of these categories can be allocated or socialized to be paid by existing ComEd customers.

Q: **Can you provide examples of transmission projects that ComEd built to serve new customers?**

A: Yes. Pages 14-15 and 16-17 of JNGO Exhibit 3.03 document costs ComEd incurred to construct facilities for two individual retail customers, each with projected loads over 100 MW. One required ComEd to plan expenditures of $175 million to connect safely,[4] and the other connection caused ComEd to commit to spend $64 million.[5] The ComEd 2024 Local Plan that ComEd submitted to PJM reflects these new customer connections.[6]

[4] JNGO Ex. 3.03 at 14-15.
[5] *Id.* at 16-17.
[6] *Id.*

These are capital investments to build the facilities, which are above and beyond the costs for conducting the preliminary studies and design work.

Q: **How did you determine that the projects identified in JNGO Exhibit 3.03 serve individual retail customers?**

A: These projects are described in the exhibit, which includes the presentations ComEd made to stakeholders, as serving individual new customers. The problem statements provided defined these projects as "[a] new customer is looking for transmission service … with an ultimate load of 210 MW" in one and "[n]ew customer is looking for transmission service in the Manteno area. Initial loading is expected to be 34 MW in 2024, 113 MW in 2028, with an ultimate load of 113 MW" in the other.[7] Furthermore, ComEd confirmed that these are plans to connect retail customers.[8]

ComEd did not address the potential beneficiaries of the projects identified in this exhibit, but elsewhere made the generic claim that transmission upgrades designed to serve a "particular new customer" would "in many cases . . . be required anyway as a result of other load growth or changed system conditions."[9] Hence, some upgrades or extensions designed to serve a particular large load customer appear to have no broader benefits for other customers.

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[7] *Id.* at 14-15, 16-17.
[8] JNGO Ex. 3.05 at 6-8 (ComEd response to request nos. JNGO-ComEd 2.20, 2.21).
[9] JNGO Ex. 3.05 at 9 (ComEd response to request no. JNGO-ComEd 4.03).

Q: Who pays for the projects identified on pages 14-15 and 16-17 of JNGO Exhibit 3.03?

A: These costs will be paid by all the retail customers served by ComEd's transmission system. When costs from these customer connection needs were included in the Local Plan, that started a process for cost recovery described below in my testimony.

Q: Are the projects identified on pages 14-15 and 16-17 of JNGO Exhibit 3.03 the only transmission projects designed to serve individual customers?

A: No. There are more in the ComEd 2025 Local Plan Submission, included as JNGO Exhibit 3.04, for transmission projects to be eventually included in the transmission revenue requirement. That set of finalized projects includes seven new customer-connection needs with costs ranging from $3 million to $289 million.[10] ComEd's initial proposals revealed in September 2025 for inclusion in future locally planned transmission show 11 more projects to connect over 8 GW of new customer load.[11]

A. The Company itself determines which new customer facilities to functionalize as transmission.

Q: What steps does the Company take to prepare to connect new large loads?

A: The Company generally describes the steps involved to connect new large loads, beginning with receiving requests for service by Large Demand Project Applicants or Customers, followed by clarification of the schedule of intended load addition. The Company establishes a commitment to study the impacts on the distribution and transmission systems

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[10] JNGO Ex. 3.04, ComEd 2025 Local Plan Presentation to PJM.
[11] *Id*.

with an engineering analysis deposit. The Company performs engineering design work to make decisions regarding the need for investment in distribution system and transmission system equipment and number of lines to reach customer property. The Company determines with this design work the voltage, distance, and cost of the service connection the Company can offer to the large load applicant.[12]

Q: How do these initial Company actions influence who pays for the customer connection?

A: The Company compares the design it has selected for the customer connection to criteria it applies to "characterize" or "functionalize" the needed investments into one of several categories. The Company does this based on its own criteria and its interpretations of past decisions that it applies on a case-by-case basis.[13] The key determinations that the Company makes are whether to functionalize new investments as "transmission" or "distribution" and as "standard" or "non-standard."[14] These decisions have direct and substantial bearing on who pays for the new customer connection and how existing customers will be exposed to risks that they will be obligated to pay for these connections. The table below details the differing treatment of these categories.

Table 1

Category of Extension	**Cost Treatment**
Distribution (Standard)	Socialized, with refundable deposit (via Rider DE)
Distribution (Nonstandard)	Directly assigned to new customer (via Rider NS)

[12] ComEd Ex. 1.0, Direct Testimony of Max Leichtman, at pp. 7-11.
[13] JNGO Ex. 3.05, at 10 (ComEd response to request no. JNGO-ComEd 4.05).
[14] JNGO Ex. 3.05, at 1, 10 (ComEd response to request no. JNGO-ComEd 2.01, 4.05)

Transmission	Socialized via PJM Transmission Tariff

Q: How does the Company approach "nonstandard" system extensions?

A: Under ComEd's tariff, Rider NS, the Company recovers the costs of nonstandard facilities, including facilities that are "larger . . . than those needed to provide standard electric service to the retail customer" directly from the customer.[15] In other words, when new customers require unusually large facilities to connect to ComEd's system, the tariff directs ComEd to recover those costs from that specific customer rather than socializing the costs across all customers.

Q: Would you consider lines and substations operating at voltages of 138 kV or greater to be larger than those needed to provide standard electric service?

A: Based on a few aspects, I consider the high voltages and the addition of substations as unusual. The typical delivery configuration for electric service is a radial connection to the customer facility. The arguments raised by ComEd that certain high voltage connections are integrated into the transmission network stem from these large customers being given a substation that has multiple, rather than one, line for energy delivery. The voltages of that connection are not surprising, given the enormous loads planned. However, the scenario that so much equipment is needed to connect a customer that the investment can be categorized as transmission must be more than can be called "Standard Electric Service."

[15] JNGO Ex. 3.06, Rider NS.

B. The Company socializes the costs of facilities it functionalizes as transmission.

Q: What does the Company do differently regarding the facilities characterized as transmission?

A: In the cases where the Company determines that the large load connection can be functionalized as transmission, the Company passes those costs on to ratepayers across its entire transmission service territory through transmission rates overseen by PJM. The Company will prepare information describing the transmission changes to connect the new customer for a PJM process called the M-3 process. Through that process, ComEd makes a Local Plan Submission, which places the costs of these facilities in the PJM Regional Transmission Expansion Plan ("RTEP").[16]

Q: What is the PJM RTEP?

A: The RTEP is an annual process that combines transmission plans under two FERC-approved processes: local and regional transmission planning.[17] Federal rules evolved with the creation of RTOs that examine and plan for *regional* transmission needs.[18] Local utilities such as ComEd conduct *local* planning to replace and expand transmission that primarily serves their own customers.[19] The results of these two workstreams are combined in the RTEP. The PJM RTEP includes the results of utilities' local planning, with the names

[16] PJM Operating Agreement Schedule 6, section 1.3. *See also* reference to the M-3 process in Response to Request IIEC-ComEd 1.09 Attachment 1.
[17] Order No. 890, FERC Stats. & Regs. ¶ 31,241 at P 418-601.
[18] *See, generally, Building for the Future Through Electric Regional Transmission Planning and Cost Allocation*, Order No. 1920, 187 FERC ¶ 61,068 (2024).
[19] Order No. 1000, 136 FERC ¶ 61,051 at P 22.

of new substations and line segments, the costs of each of the transmission expansion projects, and a tracking number that identifies the transmission project.

Q: How do customer connection facilities appear in the RTEP?

A: The information accompanying a transmission expansion for a customer connection in the RTEP includes a project identification number, which will begin with the letter "s" to signify a Supplemental (i.e. local need) transmission project. That project identification number and the cost calculated to build the customer connection and necessary upgrades will appear in the RTEP, but the justification for this transmission investment does not appear.

Q: How does ComEd recover transmission costs included in the RTEP?

A: ComEd in effect operates two distinct businesses—a transmission utility and a distribution utility. The cost included in the RTEP for each of added transmission projects will be used in the determination of the transmission utility's annual revenue requirement. The annual revenue requirement is then assigned to the relevant Load Serving Entities based on their peak load.[20] ComEd's distribution utility is a Load Serving Entity, and ComEd's retail customers make up the majority of the customers that pay rates that include the ComEd transmission revenue requirement. But ComEd is not the only Load Serving Entity that pays ComEd's transmission rates—Alternative Retail Electric Suppliers are also Load Serving Entities.

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[20] JNGO Ex. 3.05, at 3, 4 (Comed response to request nos. JNGO-ComEd 2.10, 2.11).

Q: How do the Company's retail customers pay the transmission costs caused by the connection of large loads?

A: ComEd, as the Load Serving Entity, will use its share of the transmission revenue requirement in setting retail rates. In filings with the Commission, this cost will be allocated to all rate classes. I describe this in more detail below.

Q: What else complicates the recovery of costs to provide connections to Large Demand Project Applicants or Customers?

A: The policy goals of minimizing cross subsidies and protecting customers from the unique risks of utility investments for Large Demand Project Applicants or Customers' future ramp up in energy use are complicated by the mixing of design choices for facilities triggering differences in cost allocation and subsequent cost recovery. ComEd describes in the 2024 Local Plan Submission a project with Phase 1 and Phase 2 facilities and costs.[21] ComEd has a radial extension in Phase 1 to begin service to the new large customer with a new substation named Manteno, for which ComEd proposes **<u>zero cost</u>** to the transmission rate base.[22] In Phase 2, significant additional equipment and connection facilities are planned, resulting in costs of $64 million to serve this customer. While the Company explains that it may make a distinction between new high voltage facilities built to serve new customers as either transmission facilities or distribution facilities, the Company does not describe the instances where it proposes to serve customers with facilities that it can directly assign the costs to that customer, as illustrated in Phase 1 of

[21] JNGO Ex. 3.03 at 16-17.
[22] *Id.* at 17.

the Manteno substation project. The Company only describes building new high voltage facilities serving new Large Demand Project Applicants or Customers that can be "functionalized as high-voltage distribution or transmission".[23]

Q: Please explain the meaning and means of the Company "functionalizing" Large Demand Project Applicants' or Customers' needed facilities as either distribution or transmission.

A: When the Company functionalizes an investment as high-voltage distribution or transmission to categorize costs associated with the connection of Large Demand Project Applicants or Customers to the ComEd system, it makes a choice. The Company states that it,

> uses the Federal Energy Regulatory Commission ("FERC") seven-factor test to determine whether particular facilities should be included in either distribution or transmission rate base. Typically, application of the [seven-factor] test results in primary and secondary voltage facilities being functionalized as distribution, while higher voltage facilities (69kV or higher) can be functionalized as either distribution or transmission.[24]

Apparently, the Company makes such assessments on a case-by-case basis.[25] The M-3 process which allows the Company to add transmission facilities needed for the connection of new large customers does not include a review of these decisions. To my knowledge, neither PJM nor FERC ever review the Company's decisions regarding classifying costs as distribution or transmission. In other words, the Company makes these decisions without any oversight.

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[23] ComEd Ex. 1.0, Direct Testimony of Max Leichtman, at 12.
[24] JNGO Ex. 3.05, at 1 (ComEd response to request no. JNGO-ComEd 2.01).
[25] JNGO Ex. 3.05, at 10 (ComEd response to request no. JNGO-ComEd 4.05).

Q: What is the next implication of regarding investments made to connect Large Demand Project Applicants or Customers as transmission facilities and not distribution facilities?

A: The Company practice of functionalization of the facilities built to connect Large Demand Project Applicants or Customers as transmission means that those costs will be recovered through transmission rates. This has unfortunate implications from a policy perspective. Not only does the transmission cost rise for every consumer because the cost recovery is through rates (as described above), there is no price signal for the Large Demand Project Applicants or Customers to internalize. The customers causing these costs are not given an incentive to innovate or otherwise make best use of their capital in ways that would result in lower costs to ComEd's existing customers. Likewise, ComEd has no incentive to minimize these costs, as ComEd earns a rate of return on transmission investments.

Q: How does the Company introduce the recovery of these Large Demand Project costs for transmission investments into this docket?

A: The Company introduces the recovery of costs for the transmission facilities built for Large Demand Applicants or Customers as one of the "four main categories" of proposed changes.[26] The Company describes the introduction of a Transmission Revenue Security, to be part of the Transmission Security Agreement ("TSA") as "protection to customers against under-recovery of investments by seeking transmission revenue guarantees for

[26] ComEd Ex. 1.0, Direct Testimony of Max Leichtman, at 9.

FERC-functionalized revenue requirements associated with large load projects."[27] To put this in simpler terms, the Company is addressing transmission cost recovery of transmission investments. The large load projects have associated costs (i.e. revenue requirements) for transmission (i.e. those high voltage investments that are "FERC-functionalized"). However, as I will explain, this change protects customers from only a small portion of the increased costs of connecting the large loads. It is insufficient to protect existing customers from having to pay the predominant share of those increased costs.

Q: How does the Company recover new costs for transmission from its retail customers?

A. As described above, the Company's transmission utility maintains a transmission rate base and a FERC-supervised rate-setting process. New costs, including those to connect Large Demand Applicants or Customers that are functionalized as transmission are added to this rate base and reflected in the calculation of transmission rates. ComEd's distribution utility allocates the costs for transmission to all ratepayers paying supply-related rates to ComEd, regardless of customer class. This collection will shift from being part of a volumetric (i.e. kWh) charge to a charge based on the peak demand of the customer (under changes that will become effective in 2027).[28] Other Load Serving Entities (such as the Alternative Retail Electric Suppliers) may use different methods to allocate their share of the transmission revenue requirement.

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[27] *Id*.
[28] JNGO Ex. 3.05, at 11 (ComEd response to request no. JNGO-ComEd 4.10).

Q: How does the Company describe the practice for allocation of the cost of transmission upgrades and extensions to all consumers?

A: The Company states that "the costs of such facilities are socialized."[29]

Q: What distinctions are important regarding a customer connection being treated as distribution or as transmission?

A: When the connection of a retail customer is made using transmission upgrades and extensions, the costs of those facilities are added to the transmission ratebase. Those costs are allocated across all customers, without tracking or visibility into the cost causation. The issue here is about regulatory oversight of facilities not identified "but-for" the construction of connections to particular customers and often substations on those customers' property. The Company then asserts that these upgrades are integrated into the transmission system because the Company elected to build those upgrades and substations with two lines connecting the susbstation built for new customer to the grid, rather than with just one line as is the dominant approach for distribution connections at lower voltages.[30] The two lines can effectively network the new facilities into existing transmission system. It is unclear who benefits from making such a robust connection for the particular large load customers, other than those customers.

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[29] JNGO Ex. 3.05, at 9 (Company response to request no. JNGO-ComEd 4.03).
[30] *Id*.

Q: Do you agree with the Company's approach to functionalizing new facilities as transmission?

A: In my opinion, the Company's approach is based on bad policy. The administration of line extensions for retail customers, the expansion of transmission for potential customers seeking transmission service, and the interconnection rules for generation are three examples where cost causation policies are different than what the Company relies on for large customer additions connecting with high-voltage extensions. The Company asserts that after large customer connections are built, those facilities may serve additional customers.[31] The Company does not suggest that before the Large Demand Applicants or Customers requested connection that these new facilities were needed nor that their costs were justified. It should not matter whether the new facilities are functionalized as transmission in order for the retail rates to allocate the resulting increased revenue requirement so that beneficiaries pay and the costs are assigned to the parties that cause them.

Q: Does the Company have options regarding the socialization of transmission costs?

A: Yes. The Company has ways to protect existing customers from risks and costs caused by others, while also maintaining the investment opportunity presented by the growth in demand for electricity.

One alternative under the existing tariff framework is for the Company to classify the high voltage connection facilities as Non-Standard Distribution connections, and directly assign those costs to the customers the facilities serve pursuant to Rider NS.

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[31] JNGO Ex. 3.05, at 9 (ComEd response to request no. JNGO-ComEd 4.03).

Alternatively, ComEd could allocate the system upgrades caused by the Large Demand Customers to a rate class of Large Demand Customers.

Q: Please summarize your concerns with ComEd's decision to functionalize certain large loads' connection facilities as transmission.

A: There are two things relevant to the Company's proposals in this docket that concern the expenses paid by Illinois consumers.

First, the Company practices that do provide tracking of these transmission costs are not used to pursue cost allocation that would apply cost-causation principles. The Company's incremental transmission investments are recovered through FERC-formula rates and passed through retail rates to ratepayers who do not benefit from these facilities.

Second, the Company makes decisions regarding functionalization of new facilities as transmission or distribution without any oversight. Such decisions have a major impact on retail rates. ComEd should make these decisions with greater transparency and oversight.

III. THE COMPANY FAILS TO USE CLUSTER STUDIES FOR TRACKING COST CAUSATION.

Q: What costs does the Company address in the proposal for cluster studies?

A: The Company describes the cluster studies as an improvement in the identification of system impacts and incremental investments required by the service requests from Large Demand Project Applicants or Customers.[32]

[32] ComEd Ex. 2.0, Direct Testimony of Bradley Perkins, at 9; ComEd Ex. 1.0, Direct Testimony of Max Leichtman, at 10.

Q: What cost information could the cluster studies provide that would enable costs to be allocated to those customers that cause them?

A: The Company could use the cluster studies to identify and track the costs caused by Large Demand Project Applicants or Customers. The analysis in the cluster studies "identif[ies] transmission and / or high voltage distribution system reinforcements" caused by the large load requests. [33]

Q: How does the Company intend to use the cluster study process to identify the cost to serve individual customers?

A: The Company does not plan to use Cluster Studies to assign the costs of new facilities to the Large Demand Project Applicants or Customers that cause those costs.[34]

Q: How does the Company's proposal for cluster study cost recovery relate to your suggestion of assigning costs to the causers of those costs?

A: The two concepts are very closely related. The Company proposes to directly assign and collect the costs of study, design, and engineering to the new large customers. I suggest the next logical next step; in addition to the cost of *studying* the upgrades and investments needed, the Company should also allocate the cost of *building* those facilities to these same Large Demand Project Applicants or Customers.

[33] *Id.*
[34] JNGO Ex. 3.05 at 5 (ComEd response to request no. JNGO-ComEd 2.13).

IV. <u>THE COMPANY'S DEPOSITS ARE INADEQUATE TO PROTECT CONSUMERS.</u>

Q: What deposits does the Company propose?

A: The Company proposes three new or updated deposits: an Enhanced Initial Engineering Analysis Deposit, a Rider DE Deposit, and a TSA, (which is described as functioning as a deposit). The Enhanced Engineering Analysis Deposit would consist of a base deposit of $1 million plus $500,000 for every 100 MW of load above 200 MW.[35] That deposit covers the "more complex scoping and initial engineering design" that large loads require.[36] The Rider DE Deposit, as modified under ComEd's proposal, is a refundable deposit that covers the costs of distribution system extensions and upgrades that new large loads impose. ComEd "calculates annual refunds using the delivery service revenues collected via Distribution Facilities Charges and Transformer Charges."[37] The Transmission Security Agreement is a deposit equal to the "the annual payment [for transmission service] that would be made by a large-load customer meeting the load ramp submitted to ComEd for a period of ten years after the commencement of service."[38]

Q: What is the purpose of the deposits the Company proposes to collect?

A: The Company states that the Enhanced Engineering Analysis and Rider DE Deposits are an improvement in "minimizing speculative behavior by applicants and delivering customer protections through enhanced initial deposit requirements.[39] The Company also

[35] ComEd Ex. 1.0, Direct Testimony of Max Leichtman at 13.
[36] *Id.*
[37] ComEd Ex. 2.0, Direct Testimony of Bradley Perkins at 16.
[38] *Id.* at 12.
[39] ComEd Ex. 1.0, Direct Testimony of Max Leichtman at 9.

states that "speculative or inflated applications for large demand projects . . . create both operational and financial risks…and trigger costly system upgrades."[40]

Similarly, the Company states that the TSA "provides an essential safeguard to ensure that if a Large Demand Project Applicant or Customer fails to meet its requested load ramp or does not materialize at all, the resulting revenue shortfall, which could be financially significant, is not borne by other customers."[41]

Q: Does the Company's proposed reform of Rider DE capture the costs caused by connections of Large Demand Project Applicants or Customers?

A: No. There are several ways in which the Company's proposal is inadequate to capture the full costs of connecting large load customers. While the Company is modifying the scope of what costs are included in the calculation of the Rider DE deposit,[42] the Company has not taken the opportunity to address the costs for connecting customers that the Company defines as transmission investments. Rider DE only applies to *distribution* facilities built to connect new Large Demand Project Applicants or Customers. The Company does not collect a deposit for the incremental capital expenditures that the Company chooses to categorize as *transmission*, even if those costs are caused exclusively by the connection of a new Large Load Customer or identified in a cluster study as triggered by the request by one or more Large Demand Project Applicants or Customers.[43]

[40] *Id.* at 14.
[41] ComEd Ex. 2.0, Direct Testimony of Bradley Perkins at 13.
[42] ComEd Ex. 1.0, Direct Testimony of Max Leichtman at 17.
[43] JNGO Ex. 3.05 at 2 (Company response to request no. JNGO-ComEd 2.06).

Q: Why is it a concern that the deposit under Rider DE does not apply to facilities the Company considers transmission?

A: The purpose of this deposit is to protect existing customers from an unfair cost shift if a new large load customer abandons their project. The deposit covers the costs of upgrades that the new customer would have otherwise paid. By excluding costs for facilities the Company has classified as transmission from the deposit, ComEd leaves existing customers on the hook for a huge category of costs—including some projects costing over $100 million.[44]

Q: Does the proposed Transmission Security Agreement address the problem of unfair cost shift for high voltage facilities?

A: No, for several reasons. First, the TSA is not based on the actual costs that a particular Large Demand Customer imposes on the transmission system, but instead on the rates they pay for transmission service. Those rates spread the costs of transmission investment across all customers, and thus reflect only a small fraction of the incremental costs caused by the new large customers.

In addition, the Company describes the size of the security it plans to include in the TSA as calculated from the rates at the time.[45] The new and growing costs that ComEd has presented in this docket will raise rates in the future. While all customers will be billed consistent with future, presumably higher rates, the security provided by the TSA will not be raised commensurate with the higher rates.

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[44] *See* JNGO Ex. 3.03 at 14-15.
[45] ComEd Ex. 2.0, Direct Testimony of Bradley Perkins at 12.

Q: Does the Company collect deposits from large demand project applicants or customers as an advance payment of the incremental costs these customers cause?

A: Yes, in the case of the Enhanced Engineering Analysis, but not in the case of the Rider DE. The Rider DE Deposit is essentially an assurance of future bill payments by Large Demand Project Applicants or Customers, which is ultimately refunded when those future bill payments are made. *See* definition of Deposit in Rider DE: "Deposit means an amount paid to the Company by the entity . . . which the Company agrees that potentially may be refunded in whole or in part when certain conditions are met."[46] Furthermore, as discussed above, incremental transmission capital costs caused by these customers are not covered by any of the deposits the Company has proposed.

Q: Does the Company provide evidence that the proposed deposits are designed to, or likely to discourage speculative requests or disincentivize queuing by Large Demand Project Applicants?

A: No. When asked, ComEd declined to answer.[47]

Q: How do you describe the failings of the deposits policy ComEd proposes?

A: The deposits do not address the incremental cost to build transmission facilities, which the Company describes as both more expensive than distribution facilities needed by new Large Demand Project Customers and also sharply growing in number. In particular, as described above, the Rider DE deposit (which does cover incremental facility equipment costs) is not applicable to investments characterized as transmission. The proposed TSA

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[46] ComEd Ex. 1.03, Rider DE at 7 ("(b) (i) no more than ten (10) years have elapsed since the date that such extension was placed into service, and (ii) the Company is in receipt of revenues in an amount equal to or greater than the otherwise required deposit amount…then a letter of credit is no longer required.").
[47] JNGO Ex. 3.07 (ComEd response to request no. NRG-ComEd 4.08).

addresses only the existing transmission rates, which reflect the existing transmission revenue requirement and not the incremental cost to build transmission caused by the Large Demand Project Applicants or Customers. The TSA is therefore woefully inadequate to protect other ratepayers from the overall impact of new large customers. When a project is characterized as distribution, ComEd has attempted to provide cost recovery and ratepayer protection both in terms of rates (through deposits) and infrastructure costs (through Rider DE). However when a project is characterized as transmission, ComEd is only addressing the risks and impacts of usage costs (with the TSA)—the cost to build new transmission infrastructure that solely serves individual large loads will be unfairly socialized across the entire ratebase.

V. RECOMMENDATIONS REGARDING TRACKING AND CUSTOMER PROTECTION.

Q: What do you recommend will correct the failings of the policies ComEd proposes?

A: Large Demand Project Applicants or Customers are clearly creating costs on the ComEd system. The Commission should take several steps to protect existing customers from bearing the burden of subsidizing very large loads seeking to connect to the ComEd system.

First, the Commission should order ComEd to separate the costs from the construction, ownership, and maintenance of high-voltage facilities required by Large Demand Project Applicants or Customers. The Commission should order ComEd to file new means, such as direct cost assignment for the high-voltage and non-standard facilities that large loads require via Rider NS. As part of that filing, the Commission should also direct ComEd to file tariff provisions enabling greater transparency around the functionalization and tracking the costs of upgrades and direct connection facilities in cost of service studies, and then the assignment of these costs to retail customer classes that include the Large Demand Project Customers.

Second, the Commission should order ComEd to adapt its process for Cluster Studies to allow for tracking of costs caused by individual customers, so the customers' cost causation is not obscured by participation in a cluster study.

Third, the Commission should order ComEd to collect deposits for the incremental costs of Large Demand Project Applicants or Customers, regardless of whether those costs are deemed by ComEd to be transmission costs or distribution costs.

Q: Does this conclude your testimony?

A: Yes.